BUREAU OF LOCAL GOVERNMENT FINANCE (BLGF) · LGC R.A. 7160

Real Property Assessment Operations Reference

Comprehensive Manual on TD Numbers, Transaction Types, Supersession Rules, and Field Inspection Protocols

1. IDENTIFICATION NUMBERS IN REAL PROPERTY TAX (RPT)

Every assessed parcel and structural improvement carries two official identification series: the administrative **Tax Declaration Number (TDN/ARP)** and the spatial **Property Identification Number (PIN)**.

IDENTIFIER	STANDARD FORMAT	COMPONENT SEQUENCE	LIFECYCLE RULE
TDN / ARP No.	2024-01-005-00142	[Rev. Year] - [LGU/City] - [Barangay] - [Serial]	Changes per transfer/GR
Land PIN	046-20-001-01-005	[Prov] - [City/Mun] - [Brgy] - [Sec] - [Parcel]	Permanent tax-map grid
Building PIN	046-20-001-01-005-B0001	[Land PIN] + [Suffix / Improvement Code]	Tied to physical lot
Machinery PIN	046-20-001-01-005-M0001	[Land PIN] + [Machinery Suffix]	Tied to industrial site

2. PURPOSE AND STATUTORY SCOPE OF A REQUEST FOR INSPECTION

Primary Administrative Triggers

An on-site ocular verification is legally required to establish ground truth before adjusting assessment rolls. It creates new declarations for unrecorded houses, cancels demolished buildings, or inspects structural obsolescence.

Multi-Departmental Impact

An approved inspection does not merely adjust paper text; it updates the **Field Appraisal and Assessment Sheet (FAAS)**, Tax Map Control Rolls (TMCR), GIS parcel geometries, and the Municipal Treasury tax ledger.

3. MASTER ASSESSMENT TRANSACTION CLASSIFICATION MATRIX

CODE	TRANSACTION TYPE NAME	INSPECTION?	SUPERSEDES PRIOR TD?	PRIMARY OPERATIONAL EFFECT
SD	Subdivision	REQUIRED	**Yes (1 to Many)**	Mother TD canceled; distinct child TDs issued.
CS	Consolidation	REQUIRED	**Yes (Many to 1)**	Adjoining parent TDs canceled; 1 merged TD issued.
DC	Discovery / New Declaration	REQUIRED	NO (ORIGINAL)	Original entry for new building, machinery, or land.
PC	Reassessment (Physical Change)	REQUIRED	**Yes (1 to 1)**	Updates FAAS after structural expansion or addition.
RA	Reassessment (General)	CONDITIONAL	**Yes (1 to 1)**	Corrects base rates, boundaries, or area disputes.
DT	Reassessment (Destruction)	REQUIRED	**Yes (1 to 1)**	Deducts ruined portion; lowers assessed value.
TR	Transfer of Ownership	EXEMPT	**Yes (1 to 1)**	Deed/title transfer; physical parameters intact.
RC	Reclassification (Actual Use)	REQUIRED	**Yes (1 to 1)**	Shifts legal assessment level (e.g. 20% to 50%).
GR	General Revision	SPOT CHECKS	**Yes (Mass En Masse)**	Jurisdiction-wide 3-year mass SFMV update.
				Cadastral GIS mapping, titling drives

4. DETAILED TRANSACTION PROFILES & LEGAL CONSEQUENCES (PART I)

Detailed analysis of transaction lifecycles, documentary requirements, and structural modifications to property tax records:

Subdivision (SD) · Segregation of Land

Workflow: Initiated when a registered owner divides a mother parcel into multiple lots. The appraiser and tax mapper inspect boundary pins, road alignments, and mandatory open spaces against the Land Registration Authority (LRA) or DENR-approved plan.
Impact on Property: The mother Tax Declaration is stamped *"CANCELLED & SUPERSEDED"*. New unique PINs and individual TDs are generated for each segregated lot. Tax liabilities and delinquencies are apportioned independently.

Consolidation (CS) · Lot Integration

Workflow: Combines two or more contiguous parcels under identical ownership into a single parcel. Field inspection verifies that parcels physically touch without intervening public access easements, water channels, or third-party encroachments.
Impact on Property: All individual parent TDs are cancelled. A single consolidated TD and PIN are generated. Real property tax receivables in the Treasury are collapsed from multiple ledgers into a unified bill.

Discovery / New Declaration (DC) · Original Assessment

Workflow: Applied when a newly completed building, warehouse, industrial machinery, or previously unmapped land parcel is declared. The appraiser takes tape measurements, establishes structural framing (Types I to V), and verifies operational status.
Impact on Property: *Does not supersede any prior TD.* Creates an original Field Appraisal and Assessment Sheet (FAAS). Under Sec. 222 of R.A. 7160, back taxes may be assessed for up to ten (10) preceding years if unassessed since completion.

Reassessment Due to Physical Change (PC) · Renovation / Expansion

Workflow: Triggered by structural renovations, adding vertical floors, floor plan extensions, or constructing accessory improvements (swimming pools, perimeter fences). Inspection logs new square meters and materials.
Impact on Property: The previous TD is cancelled and superseded. Fair Market Value (FMV) and Assessed Value increase, recalculating structural effective age and leading to an upward tax adjustment.

Transfer (TR) · Administrative Title Conveyance

Workflow: Executed upon sale, donation, barter, or extrajudicial settlement. Requires Transfer Certificate of Title (TCT), BIR Certificate Authorizing Registration (CAR/eCAR), and Transfer Tax Receipt. *Field inspection is not required.*
Impact on Property: The prior owner's TD is cancelled and superseded. The replacement TD retains identical land area, building classifications, and PIN, while redirecting billing ledgers to the transferee.

Reclassification (RC) · Actual Ground Use Conversion

Workflow: Mandated when land or structures convert physical usage (e.g., agricultural land to commercial parking, or residential home to retail grocery). Inspection confirms actual economic activity.
Impact on Property: The old TD is cancelled and superseded. Replaces the statutory assessment level (e.g., from 20% Residential to 50% Commercial), altering annual property tax dues without needing title re-titling.

5. BLGF ANNEX I-D SAMPLE DEPRECIATION SCHEDULE

Standard building depreciation rates by age and National Building Code structural classification (Local Assessment Manual, Department of Finance / BLGF):

GENERAL REVISION CYCLE	BLDG. AGE	BUILDING CLASSIFICATION (% DEPRECIATION)								
		I	II-A	II-B	III-A	III-B	IV-A	IV-B	V-A	V-B
Estimated Economic Life:		**15y**	**20y**	**18y**	**30y**	**25y**	**40y**	**38y**	**50y**	**45y**
1st 3 yrs of GR	1	6.7	5.0	5.0	3.3	4.0	2.5	2.6	2.0	2.2
	2	13.3	10.0	11.1	6.7	8.0	5.0	5.3	4.0	4.4
	3	20.0	15.0	16.7	10.0	12.0	7.5	7.9	6.0	6.7
2nd 3 yrs of GR	4	26.7	20.0	22.2	13.3	16.0	10.0	10.5	8.0	8.9
	5	33.3	25.0	27.8	16.7	20.0	12.5	13.2	10.0	11.1
	6	40.0	30.0	33.3	20.0	24.0	15.0	15.8	12.0	13.3
3rd 3 yrs of GR	7	46.7	35.0	38.9	23.3	28.0	17.5	18.4	14.0	15.6
	8	53.3	40.0	44.4	26.7	32.0	20.0	21.1	16.0	17.8
	9	60.0	45.0	50.0	30.0	36.0	22.5	23.7	18.0	20.0
4th 3 yrs of GR	10	66.7	50.0	55.6	33.3	40.0	25.0	26.3	20.0	22.2
	11	73.3	55.0	61.1	36.7	44.0	27.5	28.9	22.0	24.4
	12	80.0	60.0	66.7	40.0	48.0	30.0	31.6	24.0	26.7
5th 3 yrs of GR	13	86.7	65.0	72.2	43.3	52.0	32.5	34.2	26.0	28.9
	14	93.3	70.0	77.8	46.7	56.0	35.0	36.8	28.0	31.1
	15	–	75.0	83.3	50.0	60.0	37.5	39.5	30.0	33.3
6th 3 yrs of GR	16	–	80.0	88.9	53.3	64.0	40.0	42.1	32.0	35.6
	17	–	85.0	–	56.7	68.0	42.5	44.7	34.0	37.8
	18–20	–	–	–	66.7	80.0	50.0	52.6	40.0	44.4
After 20 yrs GR	21–23	–	–	–	76.7	76.5	57.5	60.5	46.0	51.1
	24–26	–	–	–	–	80.0	65.0	68.4	52.0	57.8
	27–30	–	–	–	–	–	–	–	60.0	64.4
Estimated Residual Value (%):		**10%**	**15%**	**12%**	**25%**	**20%**	**35%**	**33%**	**40%**	**37%**

6. DEPRECIATION AND VALUATION RULES

Residual Value Floor Protection

No functional, usable structure may be depreciated past its statutory limit (100% minus Residual Value). The resulting percentage good ensures buildings under active economic occupancy continuously generate tax revenue.

Obsolescence Adjustments (DEP / DT)

Assessors may adjust standard straight-line rates when extraordinary environmental decay, severe structural cracking, or partial demolition occurs, substantiated through on-site ocular verification reports.